

REQUEST FOR CONFIRMATION

Legal Guarantees & Commercial Terms

Reference: LCY-RFI-GUARANTEES-2026-001

Date: 2 February 2026 | Version 3.0

CONFIRMATION REQUIRED FOR CLIENT CONTRACTS

Our clients require these exact terms in their EPC contracts.
Please confirm each item or propose alternatives.

Purpose: This document lists all guarantee terms that Lighthief proposes to include in client EPC contracts. We require Linyang's written confirmation that these terms can be supported, or clear indication of what alternatives are available.

Portfolio: Cyprus BESS Portfolio - 47 projects, 863.5 MWh total

1. WARRANTY & PERFORMANCE GUARANTEES

Please confirm (✓) or provide alternative for each guarantee:

Guarantee	Proposed Value	Confirm (✓)	Linyang Response / Alternative
Standard Warranty Period	5 years from COD		Confirm 5-year warranty. Warranty start date per Appendix 1; COD definition and project COD dates to be agreed/confirmed per project.
Extended Warranty Option	Up to 20 years available		Under the condition of one charge and one discharge, it can be extended for warranty up to 15 years.
SOH Guarantee - Year 5	≥ 85%	✓	
SOH Guarantee - Year 10	≥ 79.58%	✓	
SOH Guarantee - Year 15	≥ 70%	✓	
SOH Guarantee - Year 20	≥ 60% (if extended warranty)		SOH Guarantee for the first 15 years of response

Cycle Life Guarantee	≥ 8,000 cycles at 1C rate		15 years or 7000 cycles @ 70% EOL, 90% DOD, 25±2°C (whichever comes first)
System Availability	≥ 97% annual		The annual guarantee for the availability needs to be defined based on the overall project capacity (863.5 MWh) and the formula for calculating the availability under the defined conditions. The formula for defining the availability is referenced in Appendix 2.
System Round-Trip Efficiency	≥ 87% at POC		≥ 87% at POC (MV side) @without AUX power
PCS Efficiency	≥ 98% at rated power	✓	

2. SOH GUARANTEE - REMEDY MECHANISM

If actual SOH falls below guaranteed values, what remedy does Linyang provide?

Remedy Option	Description	Available (✓)	Linyang Preferred
Battery Augmentation	Add capacity to restore guaranteed MWh	✓	✓
Pro-Rata Refund	Financial compensation for capacity shortfall	✓	
Module Replacement	Replace defective battery packs	✓	✓

Client Requirement: Banks require that the SOH guarantee remedy is clearly defined in the EPC contract, with a specified timeline for Linyang to fulfill any remedy (e.g., within 90 days of verified claim).

2.1 SOH Remedy - Specific Terms We Propose to Clients

Term	Proposed to Client	Confirm (✓)	Response
Remedy Timeline	Within 120 days of verified claim		It is necessary to clearly define which parts the repair time covers, and whether it includes production, logistics, and service cycles.
SOH Verification Method	Independent third-party testing		The independent third-party test needs to be confirmed by both

			parties. If the capacity requirements are met, the cost will be borne by the client.
OEM Warranty Reserve	~1.9% set aside for cell replacement		
Remedy Cost	At no cost to client during warranty period		During the warranty period, we only provide damaged components caused by equipment issues. The related service fees, on-site replacement costs, labor costs, etc. are not included.

3. FINANCIAL GUARANTEES

3.1 Advance Payment Guarantee (APG)

Requirement	Client Requirement	Linyang Confirmation
Form	Bank Guarantee (not corporate guarantee)	Confirm
Coverage	100% of advance payment amount	Confirm
Issuing Bank	International bank acceptable in Cyprus/EU	Confirm
Validity Period	Until delivery + 30 days	Confirm

3.2 Performance Bond

Requirement	Client Requirement	Linyang Confirmation
Form	Bank Guarantee or Parent Company Guarantee	Bank Guarantee
Coverage Amount	10% of contract value	Propose 5% of contract value
Validity Period	Warranty period + 6 months	Performance bond (5% of contract value) will be issued 1 month before delivery of first batch, valid until warranty start date. Extension is acceptable if 100% of contract value has been received.
Issuing Entity	Please specify (Linyang corporate / Bank / Parent company?)	Bank
Parent Company Backing	Does Linyang Energy (SHA: 601222) guarantee obligations?	No

3.3 Warranty Reserve / Insurance

Question	Linyang Response
Warranty Reserve Fund	Does Linyang maintain a warranty reserve fund? Amount/percentage? Linyang response: No
Product Liability Insurance	What insurance coverage does Linyang carry for product defects? Linyang response: Currently we hold product liability insurance. The insurance company is AXA. The insurance covers 3 rd party property damage and personal injury due to Linyang's product defects.

Claim Process	What documentation is needed to make a warranty claim? Please refer to the eighth point of the general warranty in Attachment 1.
Response Timeline	Maximum days to respond to a valid claim? Accept the warranty claim or reject it as a non-warranty issue via email, telephone, etc., within 48 hours (excluding weekends and local public holidays)

3.4 Additional Financial Protections

Protection	Proposed to Client	Confirm (✓)	Response
Performance Retention	5% held from PAC until FAC (12 months)	Confirm under condition	Confirm if 5% performance bond accepted
Product Liability Insurance	€5,000,000 coverage	Confirm	
OEM Warranty Reserve	~1.9% of contract value for cell replacement	Confirm under condition	Confirm based on below understanding: 1.9% of contract value to be reserved on Linyang's financial book.

4. LIQUIDATED DAMAGES (LDs)

4.1 Installation & Commissioning Delay LDs

Note: These LDs apply to installation & commissioning phases only. Shipping time is excluded.

LD Category	Proposed to Client	Confirm (✓)	Linyang Response
Delay LDs (Days 1-30)	0.1% of contract value per day	Reject	0.1% of the contract value of the delayed goods per day
Delay LDs (Days 31+)	0.15% of contract value per day	Reject	0.15% of the contract value of the delayed goods per day
Delay LD Cap	Maximum 10% of contract value	Reject	Maximum 10% of the contract value of the delayed goods

4.2 Availability LDs (Annual) • CRITICAL

⚠ We are proposing to clients: €50/day/MWh for availability shortfall below 97%

LD Category	Proposed to Client	Confirm (✓)	Linyang Response
Availability Target	97% annual availability		
Availability LD Rate	€50 per day per MWh for each day below 97%		1. €30 per day per MWh for each day below 97% 2.If we accept the capacity of the entire project (863.5 MWh) and the availability definition formula provided by us, then a response can be made.
Scheduled Maintenance Allowance	8 days/year (not counted as downtime)		Based on the total capacity of the entire station, the Scheduled Maintenance Allowance is recommended to be increased to 10 days per year(not counted as downtime).
Reserved Days	2 days (not counted as downtime)		

Example Calculation (20 MWh System):

If availability = 95% (shortfall of 2% = 7.26 days excess downtime)

LD = 7.26 days × €50/day × 20 MWh = **€7,260**

4.3 LTSA Fee Reduction (Availability-Based)

In addition to direct LDs, we propose tiered fee reductions:

Availability Level	LTSA Fee Reduction	Confirm (✓)	Linyang Response
97% or above	No reduction		
95% - 97%	5% fee reduction		
93% - 95%	10% fee reduction		
90% - 93%	15% fee reduction		
Below 90%	20% fee reduction (cap)		

4.4 Availability Exclusions

The following do NOT count as unavailability (please confirm):

Exclusion	Description	Confirm (✓)	Response
Force Majeure	Natural disasters, war, civil unrest	Confirm	
Grid Outages	DSO/TSO network unavailability	Confirm	
Curtailment	Grid operator dispatch instructions to limit output	Confirm	
Scheduled Maintenance	Within 8-day annual allowance	Confirm	
Customer-Caused Downtime	Actions or omissions by asset owner	Confirm	

4.5 Total LD Caps

LD Type	Proposed Cap	Confirm (✓)	Response
Delay LDs (Installation & Commissioning)	10% of contract value	Confirm	
Availability LDs (Annual)	Uncapped (calculated per formula)	Confirm	
Total Combined LD Cap	15% of contract value		Notwithstanding any contrary terms, Supplier's total liability to Purchaser shall not exceed 10% of the contract value

5. PAYMENT MILESTONES

Milestone	Proposed %	Confirm (✓)	Linyang Response
Advance Payment	25%	Confirm	
Ready to Ship (Ex-Works)	50%	Confirm	
Arrival on Site (DAP)	20%	Confirm	
SAT Completion	5% (performance holdback)	Confirm under condition	Confirm in condition that 5% performance bond of contract value

TOTAL	100%		
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6. LONG-TERM SERVICE AGREEMENT (LTSA) - PROPOSED TO CLIENTS

⚠ These are the LTSA rates and terms we are proposing to Group clients. Linyang must confirm these are achievable.

6.1 Tier C: Preventive & Corrective Maintenance - Proposed Rate

Service Component	Proposed Rate (Group)	Confirm (✓)	Response
BESS Maintenance	€815.72/MWh/year	Confirm	
PCS + MVS Maintenance	€924.28/MWh/year	Confirm	
TOTAL LTSA (Tier C - Group)	€1,740/MWh/year	Confirm	

Note: This represents a 30% discount from original rates (€2,469.59) for Group order volume commitment (47 projects, 863.5 MWh).

6.2 Tier C Features - Confirmation Required

Feature	Proposed to Client	Confirm (✓)	Response
Remote Monitoring	24/7	Confirm	
Preventive Maintenance	Quarterly	Confirm	
Corrective Maintenance	Included	Confirm	
Spare Parts	Included	Confirm	
Availability Target	97%		The annual guarantee for the availability needs to be defined based on the overall project capacity (863.5 MWh) and the formula for calculating the availability under the defined conditions.
Availability LDs	€50/day/MWh		€30/day/MWh
SOH Guarantee	Per degradation curve		

6.3 Availability Guarantee Implementation

Requirement	Proposed	Confirm (✓)	Response
97% Availability Target	Annual calculation basis		The annual guarantee for the availability needs to be defined based on the overall project capacity (863.5 MWh) and the formula for calculating the availability under the defined conditions.
Scheduled Maintenance Allowance	8 days/year excluded		Based on the total capacity of the entire station, the Scheduled Maintenance Allowance is recommended to be increased to 10 days per year(not counted as downtime).
Shortfall Penalty	€50/day/MWh below 97%	Reject	€30/day/MWh below 97%

7. EXTENDED WARRANTY COSTS - PROPOSED TO CLIENTS

7.1 BESS Extended Warranty

Period	Rate Proposed to Client	Confirm (✓)	Response
Years 1-5	Included in base warranty	Confirm	
Years 6-10	€913.92/MWh/year	Confirm	
Years 11-15	€1,157.62/MWh/year	Confirm	
Years 16-20	-----		

7.2 PCS + MVS Extended Warranty

Period	Rate Proposed to Client	Confirm (✓)	Response
Years 1-5	Included in base warranty	Confirm	
Years 6-10	€747.76/MWh/year	Confirm	
Years 11-15	€926.10/MWh/year	Confirm	
Years 16-20	-----		

7.3 Combined Extended Warranty Summary

Period	BESS	PCS+MVS	Total Warranty Add-On	Confirm (✓)
Years 1-5	Included	Included	€0	Confirm
Years 6-10	€913.92	€747.76	€1,661.68/MWh/year	Confirm
Years 11-15	€1,157.62	€926.10	€2,083.72/MWh/year	Confirm
Years 16-20	-----	-----		

7.4 Total Tier C LTSA + Extended Warranty (Group)

Period	Tier C Maintenance	Warranty Add-On	Total €/MWh/Year	Confirm (✓)
Years 1-5	€1,740.00	Included (base warranty)	€1,740.00	Confirm
Years 6-10	€1,740.00	+€1,661.68	€3,401.68	Confirm
Years 11-15	€1,740.00	+€2,083.72	€3,823.72	Confirm
Years 16-20	-----	-----	-----	

7.5 Spares Alternative to Extended Warranty

Question: As an alternative to extended warranty, can clients purchase critical spares upfront?

Option	Proposed	Confirm (✓)	Response
Spares on Stock	€1,000-1,250/MWh upfront	Confirm	
Note	Client can choose either extended warranty OR hold spares. Not both.		

CONFIRMATION

By signing below, Linyang confirms that the terms marked with (✓) above are acceptable and can be included in EPC contracts with Lighthief’s clients. For any items not confirmed, Linyang has provided alternative terms in the response column.

Authorized Signatory - Linyang

Date

Name & Title

CONFIDENTIAL | Lighthief Cyprus Ltd | Reference: LCY-RFI-GUARANTEES-2026-001 | 2 February 2026

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